Annual Green Bond Report of ISA CTM

August 2021 Update

Introduction

Consorcio Transmantaro S.A. (ISA CTM) is a corporation organized under laws of Peru and engaged in the construction, operation and maintenance of power transmisión systems in Peru. We are engaged in the business of transmitting high-voltage electric power through our power transmissionsystem as well as the construction operation and maintenance of power transmission lines owned by us and third parties. Substantially all of our assets are located in Peru and subtantially of our revenues derive from our business operations in Republic of Peru or Peru.

Our power transmission system, or the CTM Transmission Network, has a total length of 4,369 Km of power transmission line circuits, 24 substations, the capacity to transmit 500, 220 and 138 kV and a transformation capacity of 6,993 MVA (with a reserve of 2,003 MVA). We are also constructing an additional 841.77 Km of power transmission line circuits with a capacity to transmit 500 kV and 220 kV, which are expected to become fully operational by March 2023. We have been awarded 17 concessions by the Peruvian government in connection with our operation of the CTM Transmission Network. These concessions in general entitle us to build, operate and maintain the relevant transmission lines and/or substations. In addition, we have entered into 14 agreements with private parties to build, operate and maintain or, in some cases, build certain privately-owned power transmission lines. The CTM Transmission Network is comprised of the Mantaro-Socabaya Transmission Line, the Carapongo Substation, Chilca-La Planicie Zapallal Transmission Line, the Mantaro-Montalvo Transmission Line, the Mantaro-Nueva Yanango- Carapongo Interconnection, Nueva Yanango-Nueva Huanuco Interconnection, the Zapallal Trujillo Transmission Line, the Talara Piura Transmission Line, the Pomacocha Carhuamayo Transmission Line, the Trujillo Chiclayo Transmission Line, the Machupicchu Abancay Cotaruse Transmission Line, Planicie-Industriales Transmission Line, Independencia-Ica Transmision Line, Orcotuna Substation and Friaspata Mollepata Transmission Line which are located in 14 departments (departamentos) of Peru and connect the northern, central and southern power transmission systems that together comprise Peru’s National Interconnected Electric Power System (Sistema Eléctrico Interconectado Nacional). The company is currently one of the largest transmission companies in the country, with 37% market share.

2. Approach to Sustainability

Sustainability Strategy of ISA Group

ISA Group and its operating entities, including ISA CTM, are focused on supporting the Peru government´s commitment to phase out coal by 2030. In 2018, ISA Group launched the ISA 2030 Strategy for Sustainable Value, focused on growth with sustainable value, a balanced portfolio across current businesses and new geographies, and support of the four “V.I.D.A” pillars of Green, Innovation, Development and Articulation (verde, Innovación, Desarrollo y Articulación)[1].

- **Green:** Minimize the environmental impacts of the business and promote positive enviorenmental initiatives.
- **Innovation:** Take advantage of business opportunities derived from technological evolution and
- **Development:** Build capacities and leaders to face business challenges and promote the development of the territory and a entrepreneurship ecosystem.
- **Articulation:** Seal strategic alliances to meet objectives.

Under the VIDA Strategy, ISA has set specific environmental goals across the group and its companies. ISA intends to reduce and offset 11 million tons of CO2e by 2030, with group companies including Consorcio Transmantaro. ISA has also committed to invest USD 6 bn into new energies, including bringing additional solar generation capacity online, and investing in energy storage research and technologies.

[1] ISA Group Integrated Management Report 2020, https://isasapaginaswebisa001.blob.core.windows.net/paginawebisawordpress/2021/05/ISA-Reporte-Gestion-2020_INGLES.pdf

3. Overview of Framework

In support of these practices, Consorcio Transmantaro S.A. established the following Green Financing Framework (the "Framework") which complies with the Green Bond Principles (the "GBP")[2] developed by the International Capital Markets Association as of June 2018, the Green Loan Principles (the "GLP")[3] developed by the Loan Market Association as of Febreruary 2021. This Framework is based on the four core components of the GBP and GLP:

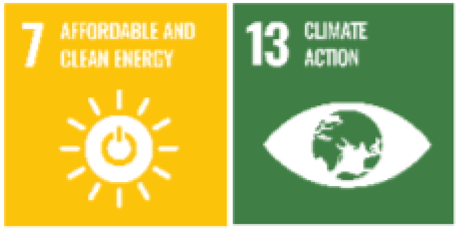
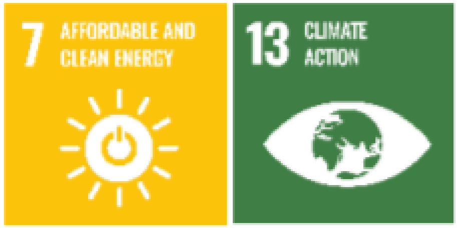
1. Use of the proceeds
2. Process for Evaluation and Selection
3. Management of Proceeds
4. Allocation and Impact Reporting

Consorcio Transmantaro S.A. has developed a Green Financing Framework under with Consorcio Transmantaro S.A may issue Green Financial Instruments including Green Bonds, Green Loans, or other financial instruments (hereinafter to as the "Green Financing Instruments").

3.1. Use of the Proceeds:

The net proceeds of the green financing instruments will be exclusively used to finance and/or refinance eligible green projects (the "Eligible Green Projects" or the "Projects"). An amount equal to the net proceeds of ISA CTM Green Financing Instruments will be used to finance and/or refinance, in whole or in part, new or existing green projects, assets or activities (hereafter "Eligible Green Projects"). We have identified Eligible Green Projects in three main categories. These projects are in service of our carbon footprint reduction strategy and the strategic areas where we believe we can make the most positive environmental impact. ISA CTM anticipates that its Green Financing Instruments will support the achievement of the United Nations Sustainable Development Goals noted below and fall within our key sustainability priorities. Eligible green projects include projects and expenditures that meet, among others, the following eligibility criteria:

[2] ICMA Green Bond Principles (2018), https://www.icmagroup.org/sustainable-finance/the-principles-guidelinesand-handbooks/green-bond-principles-gbp/
[3] LSTA, LMA and APLMA Green Loan Principles (2021), https://www.lsta.org/content/green-loan-principles/

Eligible Project Category	Questions	Alignment to the UN SDGs
Renewable Energy	Investments in the installation of electricity transmission lines that facilitate increased development and connection of renewable electricity generation sources, including: • Capital investments into integrating the grid through interconnections across Peru in order to: - Improve transmission of low-carbon and renewable energy sources into the grid, specifically solar, wind, hydro and geotermal. - Reduce the curtailment of existing renewable electricity generation capacity. - Facilitate the development of new renewable energy generation through better connecting regions with high renewable generation potential and low demand with areas of high demand and low potential	
Energy Efficiency	Investments related to energy efficiency improvements to transmission infrastructure • Installation, replacement, or refurbishment of equipment in existing transmission lines to increase energy efficiency of network and substations and reduce energy losses • Construction, development, and/or maintenance of facilities, systems or equipment aiming at reducing greenhouse gas emissions (including SF6) or replacement projects and/or greenhouse gas control devices (i.e. release monitoring equipment)	

	• Investments including smart grid projects, smart sensors/meters, and automation systems to improve energy efficiency of the grid Investments into energy storage systems • Acquisition, connection, construction, development and/or operation of energy storage and battery systems to support stabilizing of the grid and management of peak/valley energy generation	

3.2. Process for the Project Evaluation and Selection

ISA CTM will appoint a Green Financing Working Committee (the "Committee") to oversee the implementation of its Framework. The Committee will consist of members from the Sustainability, Finance, and Project Management departments. From time to time, other representatives of ISA CTM may be admitted as additional members of the Committee. ISA CTM sustainability team will select and recommend projects for the review and approval. The Committee will be responsible for the allocation of the net proceeds from the financing instrument offering(s) to (i) refinance the debt initially used to finance Eligible Green Projects, and (ii) finance new Eligible Green Projects.

3.3. Management of Proceeds

ISA CTM established internal tracking systems to monitor and account for allocation of an amount equal to the net proceeds from the offering of the financing instrument(s) to (i) refinance the financing instrument(s) (the proceeds of which were initially used to finance Eligible Green Projects), and (ii) finance new Eligible Green Projects. Pending such allocation, we intend to hold the net proceeds from the offering of the Notes in cash and/or cash equivalents.

3.4. Management of Proceeds

Annually, until full allocation of the net proceeds from the offering of the financing instrument(s), we will make available a allocation report on the following website https://www.isarep.com.pe/.

The annual allocation report will include details of (i) the amount of net proceeds allocated to Eligible Green Projects, (ii) project descriptions, (iii) expected impact metrics, if available, (iv) the amount of net proceeds not yet allocated to Eligible Green Projects, and (v) assertions by our management with respect to the amount of net proceeds that have been or will be allocated to Eligible Green Projects. We will provide information on environmental impact metrics for applicable Eligible Green Projects and if feasible and practical.

These updates and assertions may be accompanied by a report from an independent accountant in respect of the independent accountant’s examination of management’s assertions conducted in accordance with attestation standards established by the International Standard on Assurance Engagements (ISAE) 3000.

TRANSMANTARO

4. Information of ISA CTM green bond

	Green Bond ISA CTM 2034
Issuer	Consorcio Transmantaro S.A.
Ratings	Baa3/BBB (Moody´s/Fitch)
Format	144A/ Reg S
Tipo de deuda	Senior Unsecured
Size (USD)	400,000,000.00
Settlement	April 16, 2019
Maturity	April 16, 2034
Tenor	15-yr final (13-yr average life)
Coupon	4.70%
Use of the proceeds	Finance and Refinance Eligible Green Projects.
Second Party Opinion	S&P and Moody´s
Price	100%
Listing	Luxembourg
Law	State of New York

	Green Bond ISA CTM Tap 2034
Issuer	Consorcio Transmantaro S.A.
Ratings	Baa3/BBB (Moody´s/Fitch)
Format	144A/ Reg S
Tipo de deuda	Senior Unsecured
Size (USD)	200,000,000.00
Settlement	September 16, 2020

Maturity	April 16, 2034
Coupon	4.70%
Yield	3.003%
Use of the proceeds	Finance and Refinance Eligible Green Projects, including the BCP Short-term Facility
Second Party Opinion	S&P
Reopening Price	116.473%
Listing	Luxembourg
Law	State of New York

5. Allocation of the use of proceeds

5.1 Allocation of the funds

<table>
<tr><th>ISIN</th><th>Amount of funds of the Bonds (USD)</th><th>allocated of the funds (%)</th><th>Project</th><th>Refinance</th><th>COD</th></tr>
<tr><td rowspan="5">ISIN: US210314AB60 (144A)
ISIN: USP3083SAD73 (Reg S)</td><td rowspan="5">400 millions</td><td>21%</td><td>Trujillo—Chiclayo</td><td>Refinance Green Project</td><td>May 2014</td></tr>
<tr><td rowspan="3">52%</td><td>Machupicchu—Cotaruse</td><td>Refinance Green Project</td><td>August 2015</td></tr>
<tr><td>Mantaro—Montalvo</td><td>Refinance Green Project</td><td>November 2017</td></tr>
<tr><td>Friaspata—Mollepata</td><td>Refinance Green Project</td><td>August 2018</td></tr>
<tr><td>27%</td><td>Nueva Yanango-Nueva Huanuco and associated substations</td><td>Finance Green Project</td><td>March 2023*</td></tr>
</table>

			Mantaro-Nueva Yanango-Carapongo and associated	Finance Green Project	
		1%	Transactions cost		
		400 millions			
ISIN: US210314AB60 (144A) ISIN: USP3083SAD73 (Reg S)	236 millions	99%	Nueva Yanango-Nueva Huanuco and associated substations	Finance Green Project	March 2023*
			Mantaro-Nueva Yanango-Carapongo and associated	Finance Green Project	March 2023*
		1%	Transaction cost		
		236 millions			
Total		636 millions			

* estimated commercial start-up

5.2. Desception of the Projects

- ✓ **T.L. Trujillo – Chiclayo.-** The Trujillo (La Libertad) - Chiclayo (Lambayeque) Electric Transmission Line project comprises a 500 Kv power line with a circuit and transmission capacity of 700 megawatts (Mw), its length being approximately 325 kilometers. These project comprises its respective cells at the Trujillo Nueva, la Niña 500 KV and La Niña 220 kv substations.

  ISA CTM into a concession contract with the Peruvian State on May 26, 2011. This contract has a term of 30 years from its start-up, commissioning of the project was in July 2014. As of December 31, 2020, the Company had invested a total of US$123,454,846.

- **T.L. Machupicchu—Cotaruse.-** The 220 kV Macchupicchu-Abancay-Cotaruse Transmission Line, 421 km, comprises its respective cells at the Machi Picchu, Abancay and Cotaruse substations.

  The Company entered into a concession contract with the Peruvian State on December 22, 2010. The contract expires after 30 years from the date the service becomes operational, which occurred in August 2015. As of December 31, 2020 and 2019, the Company had invested a total of US$109,180,700

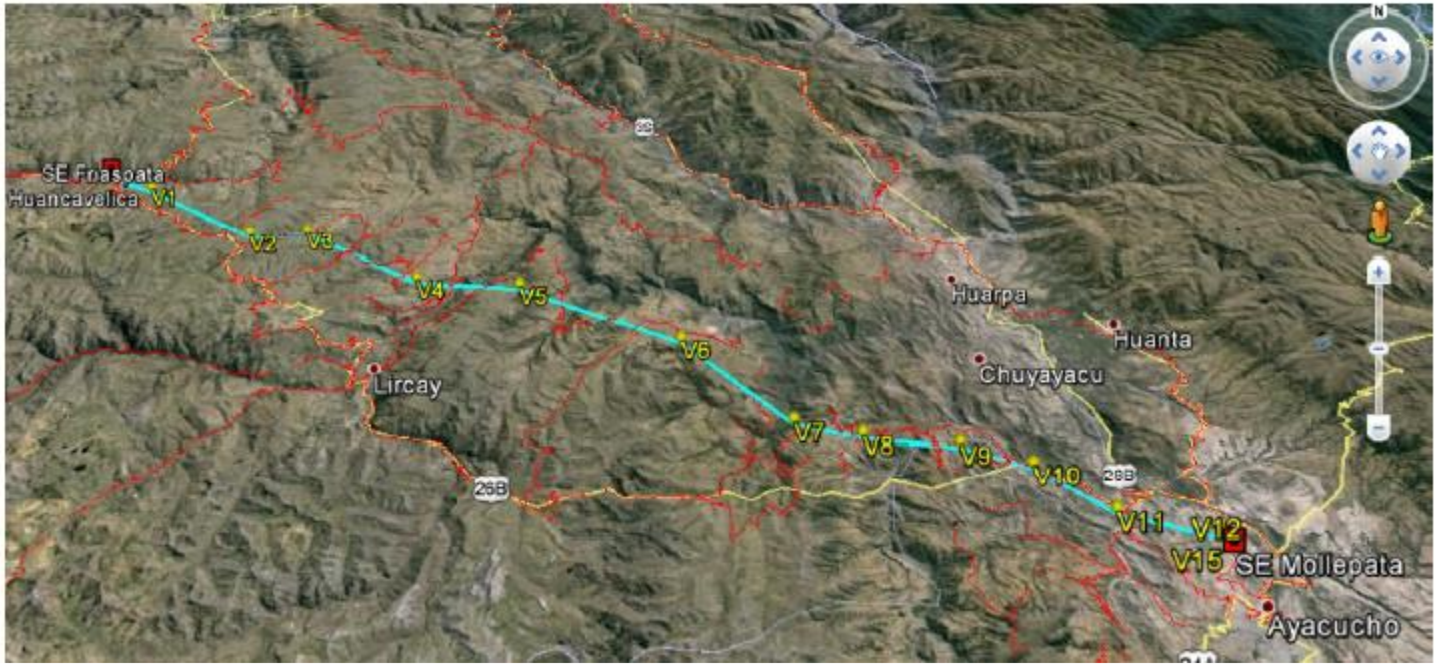
- ✓ **T.L. Mantaro-Montalvo.-** The 500 kV Mantaro-Montalvo Transmission Line, 900 km long, comprises its respective cells at the Mantaro, Marcona, Socabaya and Montalvo substations.

  The concession of the “Transmission Line Mantaro-Marcona-Socabaya-Montalvo in 500 kV and Associated Substations” constitutes the second 500 kV link between the Central and South areas of the National Interconnected Power System (SEIN). Its coming into service will allow the energy generated in the Central area to be transmitted to the South. This will address the projected demand increase in the region, and will provide better financial benefits for the operation of the system and better levels of reliability in the power supply system.

  The Company entered into a concession contract with the Peruvian State on September 26, 2013. The contract expires after 30 years from the date the service becomes operational, which took place in November 2017. As of December 31, 2020, the Company had invested a total of US$482,240,904.

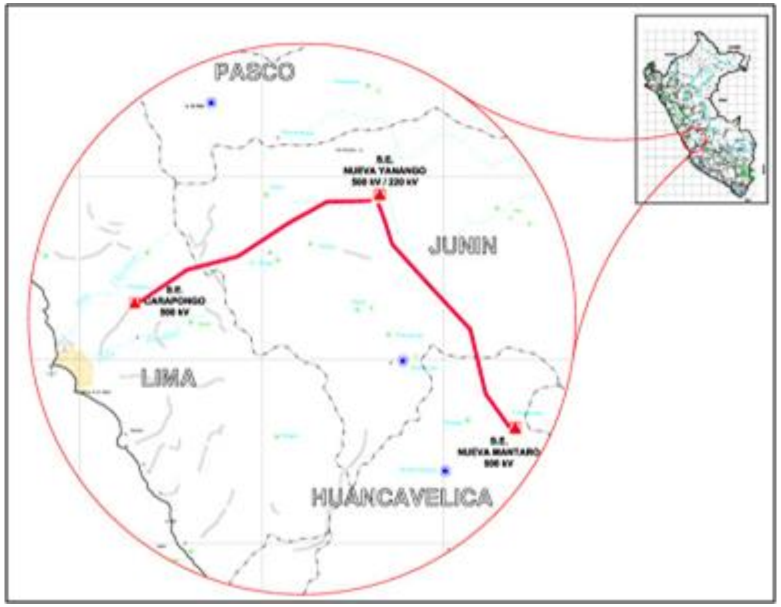
- **T.L. Friaspata-Mollepata.-** The 220 kV Friaspata-Mollepata Transmission Line, 92 Km long, comprises its respective cells at the Friaspata and Mollepata substations

  The Company entered into a concession contract with the Peruvian State on November 18, 2014. The contract expires after 30 years from the date the service becomes operational, which occurred in August 2018. As of December 31, 2020, the Company had invested a total of US$36,460,295



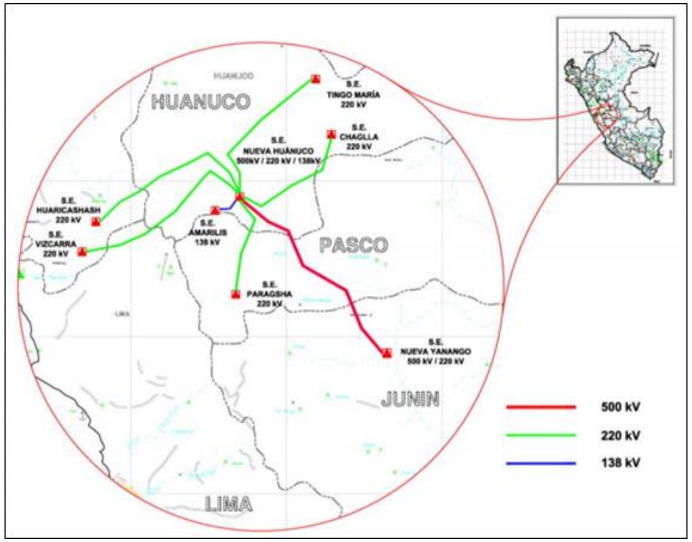
- ✓ **Mantaro-Nueva Yanango-Carapongo concession and Associated Substations.-** "500 kV Mantaro-Nueva Yanango-Carapongo Connection and Associated Substations" Project will allow the reinforcement of the transmission system in the central zone of the country, as well as the evacuation of surplus generation from the Mantaro zone towards Lima, foreseen in the new generation projects that will start operations in that area.

  The Company signed the concession contract with the Peruvian State on September 19, 2017. The contract expires after 30 years from the date the service becomes operational. As of December 31, 2020, the Company has made investments for this ongoing project for US$ US$102,809,926



- ✓ **Nueva Yanango-Nueva Huánuco Concession and Associated Substations.-** The "500 kV New Yanango-Nueva Huanuco Connection and Associated Substations Project" will allow greater reliability in the power supply to the Huánuco region, as well as the Paragsha (Cerro de Pasco) and Huaricashas and Vizcarra (Ancash) substations.

  The Company signed the concession contract with the Peruvian State on September 19, 2017. The contract expires after 30 years from the date the service becomes operational. As of December 31, 2020, the Company has made investments for this ongoing project for US$127,021,948



6. Qualitative Environmental Impact

Project	Impact	Description
Trujillo—Chiclayo (TRUCHI)	Increase in the injection or reliability of green energies	Cupisnique Wind Power Plant. - The impact of the TRUCHI Project on the possibilities of evacuating power from the Cupisnique Wind Power Plant is direct, since the project completes a ring between the Trujillo, Chiclayo and Guadalupe substations, the latter being where it is

		connected to the power station. The ring connection is constituted as a direct contribution so that the Central can evacuate its energy to the system more reliably.
Machupicchu—Cotaruse (MACO)	Increase in the injection or reliability of green energies	• Santa Teresa Hydroelectric Plant. - The impact of the MACO Project on the possibilities of evacuating power from the Santa Teresa plant is direct, since its construction constitutes a direct contribution so that the plant can evacuate its energy to the system reliably and in greater volume.
Mantaro—Montalvo (MAMO)	Increase in the injection or reliability of green energies:	• Cerro del Águila Hydroelectric Plant. - The MAMO project has benefited the connection of the Cerro del Águila hydroelectric plant to the National Interconnected System. This plant is connected directly to the SE Colcabamba, built by the MAMO project, thus being the MAMO project facilities the point by which the Central injects all your energy into the National Interconnected System. • Wind Power Plants in SE Poroma. - Likewise, the construction of the MAMO project benefits and increases the energy injection in SE Poroma, a substation to which 2 important wind power plants are connected, such as the central 3 sisters and Marcona.
	Reduction of Non-Green Energies	The MAMO project constitutes an increase in the power transmission capacity from the central zone to the southern part of the country, thus allowing the efficient energy generated in the center of the country to be brought south. With the connection of the project, the clean or efficient energy generated in the center (Hydraulics) and center-south of the country (Wind), is taken to the south, reducing the need to use locally generated energies in the south of the country, such as the power stations of Mollendo (Carbon), Puerto Bravo (Diesel), Hilo (Diesel), Chilina (Diesel), among others.
Friaspata—Mollepata (FRIMO)	Increase in the injection or reliability of green energies	Cerro del Águila Hydroelectric Plant. - The FRIMO project allows the Injected Power to the Campo Armiño Substation (Mantaro), through

		the Mantaro and Cerro del Águila power plants, to reach more important and reliable loads in the country, such as: the city of Ayacucho, the DoeRun Mine and the cities of Ayacucho and VRAEM (Valley of Apurimac, Ene and Mantaro), cities that for several years suffered from an unreliable energy supply.
	Reduction of Non-Green Energies	The project, by feeding the cities of Ayacucho and VRAEM, increases the efficiency and reliability of the energy delivered to these cities. Historically, these two cities were fed by a very long 60Kv line, which technically was not an efficient solution, which is why the distribution company was forced to maintain small diesel power plants in the area, in order to cover the peaks of energy or to attend emergencies when the power supply was interrupted. With the connection of the FRIMO project, the need for these small Diesel plants is reduced, contributing to the reduction of non-clean energies.
Nueva Yanango-Nueva Huanuco and associated substations Mantaro-Nueva Yanango-Carapongo and associated	Increase in the injection or reliability of green energies	• Cerro del Águila Hydroelectric Plant. - The COYA project will benefit the connection of the Cerro del Águila Hydroelectric Plant to the National Interconnected System. This plant is connected directly to SE Colcabamba, built by the MAMO project. The COYA project contemplates the expansion of the Colcabamba SE and provides a second way through which the Power Plant injects energy into the National Interconnected System. • Yanango Hydroelectric Plant. - Likewise, the construction of the COYA project will benefit the connection of the Central to the National Interconnected System, through the expansion of the Yanango SE and the transmission of its energy to the central zone of the country. • Chaglla Hydroelectric Plant. - In the same way, the construction of the YANA project will benefit the connection of the Central to the National Interconnected System, through the extension of the Chaglla SE and the transmission of its energy to the central zone of the country.

	Reduction of Non-Green Energies	Thanks to the abundant water resources, the central zone of Peru is a large nucleus of hydroelectric generation. To the emblematic complex of the Mantaro, the construction of two important projects, the Cerro del Águila Power Plant and the Chaglla Power Plant, have been added in recent years, their joint generation is around 2,000 MW. The YANA-COYA projects will contribute to the efficient transport of the large amount of energy coming from these two plants. These projects are integrated with each other and will allow to meet through the National Interconnected Electric System the expected increase in the demand for electric power, as well as the strengthening of the electric transmission capacity in the central zone of Peru and Lima in a timely manner and with quality.

7. Quantitative Environmental Impact

We make available an Annual Corporate Carbon Footprint by Projects on the following website: https://www.isarep.com.pe/SitePages/Documentos.aspx?mp=38&ms=43&ip=&lang=en